29 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Central banks dominated the session. The Fed held rates steady and the Bank of Canada hiked for the first time in three years, both as expected, while the RBNZ surprised by staying on hold.

US equities moved higher following the Fed decision, while Asian markets rallied on renewed AI optimism. The Kospi led gains, jumping 6.6%.

US Treasuries diverged across the curve. The 2-year yield fell 3bps as Chair Warsh emphasised the importance of incoming information, while the 10-year rose 3bps.

Australian yields climbed after a firm CPI print, with 3- and 10-year yields both up 6bps. Markets now price an 85% chance of an RBA hike next week, with a move fully priced by year-end.

Oil prices rose on reports the US could resume attacks on Iran after the midterms, though gains were pared as Iran kept the door open to diplomacy. Brent rose 1.0% and WTI gained 2.7%.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.3	0.3%
AUD/USD	0.7061	0.5%
AUD/JPY	111.47	0.4%
AUD/GBP	0.5295	0.3%
AUD/NZD	1.2538	1.4%
AUD/EUR	0.6326	0.2%
AUD/CNH	4.7013	0.4%
AUD/SGD	0.9043	0.5%
AUD/HKD	5.5374	0.5%
AUD/CAD	0.9877	0.1%
EUR/USD	1.1162	0.3%
USD/JPY	157.90	0.0%
USD Index	102.14	-0.2%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	-0.01
90 day BBSY	4.91	0.01
180 day BBSY	5.27	0.02
1 year swap	5.01	0.05
2 year swap	4.94	0.04
3 year swap	4.91	0.04
4 year swap	4.91	0.03
5 year swap	4.93	0.02
6 year swap	4.97	0.02
7 year swap	5.01	0.02
8 year swap	5.05	0.02
9 year swap	5.09	0.02
10 year swap	5.13	0.01

Equities	Close	Change
S&P/ASX 200	8,847	0.0%
S&P 500	7,744	0.3%
Japan Nikkei	63,954	1.1%
Hang Seng	23,095	0.2%
Euro Stoxx 50	6,168	0.1%
UK FTSE100	10,695	0.1%
VIX Index	16.93	-3.4%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.92	0.06
10 year bond	5.21	0.06
United States		
3-month T Bill	4.00	-0.03
2 year bond	4.71	-0.03
10 year bond	5.03	0.03
Other (10 year yields)		
Germany	3.37	0.01
Japan	2.83	0.02
UK	5.32	-0.03

Commodities	Current	Change
CRB Index	413.68	0.4%
Gold	4079.65	0.5%
Copper	14478	0.0%
Oil (WTI futures)	102.57	2.7%
Coal (coking)	266.50	-0.1%
Coal (thermal)	155.15	1.4%
Iron Ore	90.85	0.8%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.22	0.00
3 yr bond	4.89	-0.03
3 mth bill rate	4.77	0.00
SPI 200	8,887	0.3%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

It was a busy session for markets, with plenty to digest. The Fed held steady and the Bank of Canada hiked for the first time in three years, both as expected. Meanwhile, the RBNZ delivered a surprise by holding rates steady, though a hike remains largely priced by year-end. In the UK, Chancellor Healey unveiled a modest Budget, delivering £4.1bn in cost-of-living relief and pledging to lift defence spending to 3% of GDP by 2030.

- US equities ended the session higher following the Fed decision. The S&P 500 and the Nasdaq closed 0.3% higher, while the Dow Jones rose 0.2%. European stocks steadied as Chancellor John Healey's tax increase on lenders proved less severe than feared. The Euro Stoxx 50 and FTSE 100 both closed 0.1% higher.
- Asian equities moved higher as strong earnings revived optimism around AI, outweighing concerns over funding costs. The Nikkei 225 rose 1.1%, while the Kospi jumped 6.6% to its highest level in two weeks. The CSI 300 gained 0.8% and the Hang Seng rose 0.2%, while the ASX 200 was broadly unchanged.
- Short-dated US Treasuries swung following the Fed decision. The 2-year yield initially rose after rates were left unchanged, before reversing to close 3bps lower as Chair Warsh signalled the Fed would assess incoming information and not prejudge the December meeting. Futures markets still put the chance of a hike at 85%. The 10-year yield rose 3bps, with markets focusing on his comments around financial conditions becoming tighter. The 10-year gilt yield fell 3bps in a vote of confidence in the Budget, while the 10-year bund yield edged 1bp higher.
- Australian bond yields rose following the firm CPI result. Yields had already begun moving higher ahead of the release after comments from the RBA Governor that "inflation likely to remain elevated for some time" and needing "a further period of subdued growth". The 3-year and 10-year yields both gained 6bps. Swap markets are pricing an 85% chance of a rate hike by the RBA next week, with a hike now fully priced in by year-end.
- The USD index dropped 0.2%, with the AUD (+0.5%), euro (+0.3%) and pound (+0.2%) all gaining against the greenback. The loonie swung between losses and gains, ultimately rising 0.4% against the USD. Meanwhile, the AUD rose 1.4% against the NZD and touched a 13-year high.
- Oil prices gained on reports that the US could resume attacks on Iran after the midterms, but pared some of the advance after Iran's Foreign Minister said the country "continues to give diplomacy a chance to succeed". Brent closed 1.0% higher at US$115.0/bbl, while WTI gained 2.7% to US$102.6/bbl. Gold and iron ore rose 0.5% and 0.8%, respectively, while copper was largely unchanged.

Today's key data and events

Time	Event	Exp	Prev
11:00	NZ ANZ Business Confidence Oct	-	51.9pts
11:30	AU Export Price Index Q3	-	1.1%
11:30	AU Import Price Index Q3	-	5.7%
20:30	GB Net Mortgage Lending Sep	£4.2b	£4.4b
21:00	EZ Economic Confidence Oct	97.5pts	97.9pts
21:00	EZ Consumer Confidence Oct Final	-17.9pts	-17.9pts
23:30	US Personal Income Sep	0.3%	0.2%
23:30	US Personal Spending Sep	0.6%	0.9%
23:30	US PCE Deflator Sep	0.5%	0.3%
23:30	US Initial Jobless Claims	198k	194k
23:30	US Core PCE Deflator Sep	0.3%	0.2%
23:30	US GDP Q3 A	3.2%	2.2%
0:15	EZ ECB Policy Decision	2.6%	2.6%

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **FOMC** held at their October meeting, albeit with two dissents, Governor Cook and Cleveland Fed President Hammack preferring to hike by 25bps at this meeting. The statement was short and, in the press conference, Chair Warsh again refrained from providing definitive guidance on the near-term outlook for policy. Along with the two dissents, and Chair Warsh noting in the press conference that consumer inflation has now been above target for 6 years, the "accumulation of more information will help the Committee determine the policy stance" suggests another 25bp hike is likely in December, and that the FOMC will remain attentive to any broadening in inflation and related risks during 2027. Chair Warsh also announced a structural change in how the FOMC undertake policy from 2027. One meeting, in the fall, will focus on monetary policy strategy versus the current stance of monetary policy. Chair Warsh then intends for 2 of the 8 meetings in 2028 to have this strategy focus.

US wholesale inventories rose 0.6% in September.

The **Bank of Canada** delivered to expectations at its October meeting, increasing the policy rate by 25bps. "The Canadian economy is expected to grow 1% in 2026, and 2% in 2027 and 2028. This is a somewhat stronger overall growth projection than the July Report."

Domestic Data

In Australia, the **September CPI** came in firm, rising 0.8%mth, taking the year-ended pace to 4.3%. The monthly trimmed mean printed 0.3%mth and 3.6%yr higher, with the year-ended pace ranging between 3.5-3.6% for five consecutive months now. The policy-relevant **quarterly trimmed mean** rose 1.0%qtr and 3.7%yr (see here for full analysis).

In NZ, the **RBNZ** left the OCR unchanged at 2.75%. The committee voted 4:3 against a 25bp hike, with Governor Breman within the "on hold" camp (see here for full analysis).

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